



OCCUPATIONAL CERTIFICATE: Financial Markets Practitioner

Module 3: Regulation of Financial Markets STUDY GUIDE

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Learning Outcomes

On completion of this learning unit, you will be able to:

- Understand the twin peaks model and the objectives of financial regulation.
- Identify and explain the roles of conduct and prudential authorities.
- Describe self-regulating organisations and the reasons for their existence.
- Explain the function of exchanges and the impact of legislation on their rules.
- Define, explain, and evaluate market abuse, including offences and defences.
- Explain the roles, responsibilities, and duties of financial service providers and their representatives.
- Explain fit-and-proper requirements for financial service providers.
- Explain and apply customer due diligence and a risk-based approach.
- Explain key requirements for record keeping, financial sanctions, and screening.
- Explain and evaluate reporting obligations of accountable institutions.
- Explain key requirements of a risk management compliance programme.
- Explain the purpose, applicability, and exclusions of the specified legislation.
- Explain the role of the information regulator and the duties of an information officer.
- Identify and analyse market abuse instances and evaluate defences and consequences.
- Apply core elements of customer due diligence and a risk-based approach.

CHAPTER 1

FINANCIAL MARKETS REGULATIONS

1.1. INTRODUCTION

The success of our financial markets depends on certainty and the financial stability of market participants.

This has now become increasingly apparent but 10 years ago this was not the case. In 2008, the world saw the Global Financial Crisis ("GFC"). This was caused by, amongst others, sub-prime lending of AAA-rated bonds in the United States of America. Banks around the world were tempted into buying these 'collateralised debt obligations' from rating agents that were unethical and unhindered by statutory obligations, a practice known as "predatory lending", and once most debtors began to default the value of these debt obligations resulted in huge losses to banks around the world.

Prior to the GFC, a lack of prudential awareness was often preceded by crisis, however, worryingly in the present day, poor market conduct and a lack of consumer protection led to situations like the GFC and its impact resulted in huge shocks throughout society.

For financial markets to function effectively there needs to be some foundation of legal certainty and regulations that reduce the possibility of systemic or institutional failure, fraud, market manipulation, and the unfair treatment of investors, particularly retail investors.

In addition to internal procedures developed by financial markets themselves, there are legal and regulatory frameworks for financial markets developed and implemented by policymakers, regulators, and supervisors that are designed to ensure that business is transacted fairly, and consumers' money and assets are adequately protected and also to give confidence to market participants.

1.2. OBJECTIVES OF REGULATIONS

Regulators act in response to a perceived need for rules. Regulation is needed when market solutions are insufficient for a variety of reasons. Understanding the objectives of regulation makes it easier for financial market participants to anticipate and comply with regulation.

The broad objectives of regulation include the following:

- **Protect consumers:** Consumers may be able to quickly determine the quality of clothing or cars, but they may not have the skill, or the information needed to determine the quality of financial products or services. In the context of the financial services industry, consumers include borrowers, depositors, and investors. Regulators seek to protect consumers from abusive and manipulative practices including fraud in financial markets. Regulators may, for instance, prevent investment firms from selling complex or high-risk investments to individuals.
- **Foster capital formation and economic growth:** Financial markets allocate funds from the suppliers of capital—investors to the users of capital, such as companies and governments. The allocation of capital to productive uses is essential for economic growth. Regulators seek to ensure healthy financial markets in order to foster economic development. Regulators also seek to reduce risk in financial markets.
- **Support economic stability:** The higher proportion of debt funding used in the financial services industry, particularly by financial institutions, and the interconnections between financial service industry participants create the risk of a systemic failure - that is, a failure of the entire financial system, including loss of access to credit and collapse of financial markets. Regulators thus seek to ensure that companies in the financial services industry, both individually and as an industry, do not engage in practices that could disrupt the economy.
- **Ensure fairness:** All market participants do not have the same information. Sellers of financial products might choose not to communicate negative information about the products they are selling. Insiders who know more than the rest of the market might trade on their inside information. These information asymmetries (differences in available information) can deter investors from investing, thus harming economic growth. Regulators attempt to deal with these asymmetries by requiring fair and full disclosure of relevant information on a timely basis and by enforcing prohibitions on insider trading. Regulators seek to maintain “fair and orderly” markets in which no participant has an unfair advantage.
- **Enhance efficiency:** Regulations that standardise documentation or how to transmit information can enhance economic efficiency by reducing duplication and confusion. An efficient dispute resolution system can reduce costs and increase economic efficiency.
- **Improve society:** Governments may use regulations to achieve social objectives. These objectives can include increasing the availability of credit financing to a specific group, encouraging home ownership, or increasing national savings rates. Another social objective is to prevent criminals from using companies in the financial services industry to transfer money from illegal operations to other, legal activities - a process known as money laundering. As a consequence of the transfer, the money becomes “clean”. Regulations help prevent money laundering, detect criminal activity, and prosecute individuals engaged in illegal activities.
- **Market confidence:** To maintain confidence in the financial system.
- **Financial stability:** Contributing to the protection and enhancement of stability of the financial system.
- **Reduce financial crime**
- **Regulate foreign participation**

Specific regulations are developed in response to the broad objectives of regulation. A regulation can help to achieve multiple objectives. For example, rules about insider trading protect consumers (investors) and promote fairness in financial markets.

1.3. CONSEQUENCES OF REGULATORY FAILURE

Inadequate regulation and failure to enforce regulation can have a variety of consequences, including failing to meet the objectives above. The results of a regulatory breakdown can harm customers and counterparties as well as damage trust in the financial services industry, which includes the financial markets.

Customers may lose their life savings when sold unsuitable products or customers could be harmed if an investment firm misuses customer assets. Furthermore, the failure of one large company in the financial services industry can lead to a catastrophic chain reaction (contagion) that results in the failure of many other companies, causing serious damage to the economy.

Regulatory failure can have many consequences, including:

- **Reputational damage:** A company's image can be tarnished, and stakeholders may question its integrity.
- **Legal action:** Non-compliance can lead to lawsuits or regulatory enforcement proceedings, which can be costly and damage a company's reputation.
- **Business interruption:** Legal action against a company's senior management can cause business interruption.
- **Loss of revenue:** A company may experience a loss of revenue.
- **Worker injuries and deaths:** Non-compliance can lead to worker injuries and deaths.
- **Property damages:** Non-compliance can lead to property damages.
- **Lost production:** Non-compliance can lead to lost production.
- **Jail time:** Non-compliance can lead to jail time.
- **Penalties and fines:** Non-compliance can lead to penalties and fines.
- **Limitations on activities:** Non-compliance can lead to limitations on activities.
- **Additional barriers to approval:** Non-compliance can lead to additional barriers to approval.
- **Access issues to markets and product delays:** Non-compliance can lead to access issues to markets and product delays.

1.4. TYPES OF FINANCIAL MARKET REGULATION

Financial regulators provide oversight to make sure markets run fairly, smoothly, and efficiently. They can also act as police to enforce rules and regulations, potentially keeping damage to a minimum when it does occur and punishing those who break the rules.

Without these regulators, markets would be more like the Wild West, with greater chances of unfair competition and manipulation. Although the markets' guardians can't stop every bad actor, the presence of a regulatory structure allows market participants to trade without constantly looking over their shoulders.

Modern financial markets are so complex that they require different types of regulators for different types of markets and financial industries. Anyone participating in financial markets should have at least a working knowledge of which agencies regulate what, the rules they create, and how they enforce their regulations.

Here are some regulatory bodies in South Africa:

National Credit Regulator (NCR)	Regulates the consumer credit industry, including debt counseling and review mechanisms
National Gambling Board (NGB)	Regulates gambling practices
South African Health Products Regulatory Authority (SAHPRA)	Regulates medicines, clinical research, medical devices, and radiation safety
Financial Services Board (FSCA)	Regulates the market conduct of financial institutions, including banks, insurers, retirement funds, and administrators Financial Sector Regulation Act, 2017 (Act No. 9 of 2017). Financial Markets Act, 2012 (Act No. 19 of 2012)
South African Reserve Bank	A national and regulatory authority Banks Act, 1990 (Act No. 94 of 1990)
Prudential Authority (PA)	Ensures the financial soundness of banks and insurers. Insurance Act, 2017 (Act No. 18 of 2017)
Department of Trade and Industry	A national and regulatory authority
Department of Forestry, Fisheries, and the Environment (DFFE)	National Environmental Management Act, 1998 (Act No. 107 of 1998)
Trade and Investment South Africa	A national and regulatory authority
Johannesburg Securities Exchange	A national and regulatory authority Financial Markets Act, 2012 (Act No. 19 of 2012)
South African Chamber of Business	A national and regulatory authority
Banking Council of South Africa	A national and regulatory authority
Competition Commission of South Africa (CCSA)	Prevent anti-competitive behaviour, monopolies, and promote market fairness. Competition Act, 1998 (Act No. 89 of 1998)
National Consumer Commission (NCC)	Consumer Protection Act, 2008 (Act No. 68 of 2008) Ensures businesses comply with consumer protection laws
Independent Communications Authority of South Africa (ICASA)	Oversees telecommunications, broadcasting, and postal services. Electronic Communications Act, 2005 (Act No. 36 of 2005)
Commission for Conciliation, Mediation and Arbitration (CCMA)	Resolves labour disputes. Labour Relations Act, 1995 (Act No. 66 of 1995). Basic Conditions of Employment Act, 1997 (Act No. 75 of 1997)
National Energy Regulator of South Africa (NERSA)	Oversees electricity, piped gas, and petroleum industries. Electricity Regulation Act, 2006 (Act No. 4 of 2006)

These rules include the following:

Competition Regulation

- **Prohibited Practices:**
 - Price-fixing, collusion, and cartels.
 - Abuse of dominance (e.g., predatory pricing or refusal to supply).
 - Restrictive agreements that limit competition.
- **Merger Control:**
 - Notification and approval for mergers/acquisitions exceeding specified thresholds.
- **Penalties:**
 - Fines, corrective measures, or compulsory divestitures for violations.

Consumer Protection

- **Key Protections:**
 - Right to fair value, quality, and safety in products and services.
 - Prohibition of unfair, misleading, or fraudulent practices.
 - Mandatory disclosure of terms and conditions, prices, and risks.
- **Return and Refund Policies:**
 - Clear rules for refunds, replacements, and repairs.
- **Supplier Obligations:**
 - Duty to comply with product safety standards and recall defective goods

Financial Sector Regulation

- **Licensing Requirements:**
 - Banks, insurers, and financial service providers must obtain licenses to operate.
- **Risk Management:**
 - Institutions must maintain adequate capital reserves and comply with risk management standards.
- **Market Conduct Rules:**
 - Transparency in fees, terms, and services for consumers.
 - Prevention of insider trading and market manipulation.
- **Reporting Requirements:**
 - Regular submission of financial reports and disclosures to regulators.

Securities and Exchange Regulation

- **Listing Rules:**
 - Companies must meet specific criteria to list securities on the Johannesburg Stock Exchange (JSE).
- **Trading Rules:**
 - Prohibition of insider trading and unfair trading practices.
- **Disclosure Obligations:**
 - Timely disclosure of material information that could affect share prices.
- **Investor Protections:**
 - Ensuring fair access to information and equitable treatment for all investors.

Telecommunications and Media Regulation

- **Spectrum Management:**
 - Allocation and licensing of radio frequencies.
- **Content Regulation:**
 - Rules on broadcasting standards and advertising.
- **Pricing Regulation:**
 - Oversight of telecommunication tariffs to prevent excessive pricing.
- **Consumer Rights:**
 - Protections for fair access to services and resolution of co

Environmental Regulation

- **Environmental Impact Assessments (EIAs):**
 - Mandatory assessments for projects that could impact the environment.
- **Pollution Control:**
 - Limits on emissions, waste management, and penalties for violations.
- **Sustainability Requirements:**
 - Encouragement of renewable energy use and conservation practices.
- **Compliance Monitoring:**
 - Regular inspections and audits of businesses

Labour and Employment Regulation

- **Fair Employment Practices:**
 - Prohibition of discrimination and unfair dismissal.
- **Minimum Wage Standards:**
 - Enforcement of statutory minimum wages.
- **Workplace Safety Rules:**
 - Adherence to occupational health and safety standards.
- **Collective Bargaining:**
 - Recognition of trade unions and the right to strike

Energy Sector Regulation

- **Tariff Approvals:**
 - Oversight of electricity and gas pricing to prevent exploitation.
- **Renewable Energy Rules:**
 - Incentives and obligations for adopting renewable energy sources.
- **Operational Standards:**
 - Maintenance of infrastructure and reliability of supply.
- **Licensing:**
 - Permits for energy generation, distribution, and trading.

Agricultural and Food Safety Regulation

- **Standards for Food Products:**
 - Enforcement of quality, labeling, and packaging standards.
- **Inspections:**
 - Regular inspections of farms, processing facilities, and retail outlets.

- **Import and Export Rules:**
 - Compliance with international standards for agricultural trade.
 - Pesticide and GMO Regulations:
 - Rules on the use and labeling of genetically modified organisms and pesticides.

Penalties for Non-Compliance

- **Fines:** Substantial monetary penalties.
- **License Revocation:** Suspension or cancellation of licenses.
- **Court Action:** Criminal or civil proceedings against violators.
- **Corrective Orders:** Requirements to remedy harm caused.

1.4.1 GATEKEEPING RULES

Gatekeeping rules govern who is allowed to operate as a financial professional as well as if and how products can be marketed.

- **Personnel:** One of the primary activities of regulators is screening financial markets personnel to ensure that they meet standards for integrity and competency. Even honest people can do tremendous damage if they are untrained or incompetent. For this reason, regulators in most financial markets require individuals to pass licensing exams to make sure that industry personnel have an understanding of the financial laws and of financial products in general.
- **Financial products:** Financial products must generally comply with numerous regulations before they can be sold to the public. In disclosure-based regimes, the regulators monitor the accuracy of the disclosures; in merit-based regimes, the regulators pass judgement on the merits of the investments.

Gatekeeping rules are necessary because some financial products are complicated to understand, and sellers of these products may have incentives to offer and recommend the wrong products to a client.

Challenges with Gatekeeping Rules

- **Barriers to Entry:** May disproportionately affect small businesses or individuals lacking resources.
- **Regulatory Capture:** Larger entities may influence rules to limit competition.
- **Complexity and Costs:** Compliance with gatekeeping requirements can be time-consuming and expensive.

1.4.2 OPERATIONAL RULES

Operational rules in finance refer to the guidelines, policies, and procedures that organisations establish to ensure their financial activities are carried out efficiently, accurately, and in compliance with applicable laws and regulations. These rules are essential for maintaining operational integrity, minimising risks, and achieving organisational objectives. They can vary depending on the organisation, but generally, they include the following aspects:

- **Internal Control Measures**
 - Segregation of duties to prevent fraud (e.g., different individuals handle authorisation, recording, and asset custody).
 - Approval hierarchies for financial transactions.
 - Periodic audits and reconciliations
- **Risk Management**
 - Establishing limits for financial exposures (e.g., credit risk, market risk).
 - Implementing hedging strategies for foreign exchange or interest rate risks.
 - Monitoring liquidity to ensure sufficient funds are available to meet obligations.
- **Compliance and Regulatory Adherence**
 - Following tax laws, anti-money laundering (AML) regulations, and data protection laws.
 - Filing financial reports according to standards like IFRS or GAAP.
 - Adhering to the policies of regulatory bodies (e.g., SEC, SARB in South Africa).
- **Transaction Handling**
 - Rules for processing payments, invoicing, and cash management.
 - Standards for documentation and record-keeping of transactions.
 - Approval protocols for loans, investments, and large expenditures.
- **Technology and Systems**
 - Cybersecurity measures to protect financial data and systems.
 - Operational rules for using financial software or ERP systems.
 - Backup and disaster recovery protocols.
- **Ethical and Governance Standards**
 - Code of conduct for employees handling finances.
 - Conflict-of-interest policies.
 - Whistleblowing procedures for reporting financial misconduct.

Operational rules ensure transparency, accountability, and reliability in financial operations. They protect the organisation against fraud, errors, and legal non-compliance, contributing to long-term financial stability and trust from stakeholders.

Disclosure Rules

In order for markets to function properly, market participants require information, including information about companies and governments raising funds, information about the specific financial instruments being sold and traded, and information about the markets for those instruments. Rules specify what information is included and how the information is disclosed.

- **Corporate issuers:** Regulators typically require corporate issuers of securities to disclose detailed information to potential buyers before the offering of securities. This requirement is to ensure that investors have enough information about what they are buying to make informed decisions. The disclosures generally include audited financial statements, information about the general business of the company, the intended use of the proceeds, information about management, and a discussion of important risk factors.

- **Market transparency:** Information about what other investors is willing to pay for a security, or the price they just paid, is valuable to investors because it helps them assess how much a security is worth. But investors generally do not want to reveal private information. The regulation requires the dissemination of at least some information regarding the trading environment for securities.
- **Disclosure triggers:** A company may be exposed to various types of compulsory regulatory disclosure requirements. Stock exchanges and market regulators typically have a range of disclosures, which may be required as soon as a trigger event occurs or a threshold is reached. For holdings in a particular stock, there can, for example, be significant shareholder disclosures designed to inform the market of potential takeover activity, directors' dealings in shares of the company, or short positions.

1.4.3 SALES PRACTICE RULES

Some consumers seeking financial advice find it difficult to assess the quality of the advice they are receiving. These consumers may be vulnerable to abusive sales practices by sellers who are more concerned about their own profit than the customers' best interests. For instance, some providers may be inclined to push products that pay the highest commission. Regulators deal with potential sales practice abuses in various ways.

- **Advertising:** Regulators may control the form and content of advertising to ensure that advertising is not misleading. For example, regulators often disapprove of such advertised promises as "guaranteed" returns and "sure win" situations. Providers of products and services to investors may be tempted to exaggerate past performance by displaying only winning time periods or winning strategies. Regulators seek to counteract this tendency by creating standards for the reporting of past performance.
- **Fees:** Regulators may impose price controls to limit the commissions that can be charged on the sale of various financial products as well as to limit the mark-ups and mark-downs that occur when investment firms trade securities with their customers out of their own inventories.
- **Information barriers:** Many large firms in the investment industry offer investment banking services to corporate issuers and, at the same time, publish investment research and provide financial advice. This situation creates potential conflicts of interest. For instance, firms may publish biased investment advice in order to win more lucrative investment banking business. Similarly, research analysts may be under pressure to publish favourable research reports on securities in which the firm has large positions in its own inventory. Regulators attempt to resolve conflicts of interest by requiring firms to create barriers—virtual and physical - between investment banking and research.
- **Suitability standards:** Regulation seeks to hold those in the investment industry accountable for the advice that they give to their clients. Any advice or recommendation should be suitable for the client (consistent with the client's interests). Some participants in the investment industry are held to an even higher standard, frequently called a fiduciary standard. Under this standard, any advice or recommendation must be both suitable for the client and in the client's best interests. In order to advise or make recommendations, it is critical to "know your customer"—gather information about a client's circumstances, needs, and attitudes to risk.

- **Restrictions on self-dealing:** Many firms in the investment industry sell financial products such as securities directly to investors out of their own inventories. This practice allows them to provide faster service and better liquidity to their customers as well as to provide access to proprietary financial products that may not be available elsewhere. However, self-dealing potentially creates a conflict of interest because the firm's interests may differ from those of the consumer. The firm wants to charge the highest price to the customer, who wants to pay the lowest price. There can also be confusion among customers as to whether the firm is acting as a principal (the firm is taking the other side of the trade) or an agent (the firm is working for the client, but not trading with that client). Regulators may deal with the potential conflict in a number of ways. They may impose "best execution" requirements, require disclosure of the conflict, or ban self-dealing with customers.

1.4.4 TRADING RULES

Trading rules are a set of guidelines and principles that govern how trading activities are conducted in financial markets. These rules help traders, investors, and institutions make informed decisions, minimise risks, and ensure compliance with market regulations. They can apply to various trading activities, including stocks, bonds, commodities, forex, and derivative

- **Market standards:** Government regulation can be used to set, for example, the standard length of time between a trade and the settlement of the trade (typically three business days for equities in most global markets).
- **Market manipulation:** Regulators attempt to prevent and prosecute market manipulation. Market manipulation involves taking actions intended to move the price of a stock to generate a short-term profit.
- **Insider trading:** A market in which some participants have an unfair advantage over other participants lacks legitimacy and thus deters investors. For this reason, most jurisdictions have rules designed to prevent insider trading. Because material non - public information flows through companies in the financial services industry about the financial condition of their clients and their trading, regulators often expect companies to have policies and procedures in place to restrict access to such information and to deter parties with access from trading on this information.
- **Front running:** As with insider trading, regulators may ensure that companies have procedures in place to deter front running and to monitor employees' personal trading. Front running is the act of placing an order ahead of a customer's order to take advantage of the price impact that the customer's order will have. For example, if you know a customer is ordering a large quantity that is likely to drive up the price, you could take advantage of this information by buying in advance of that customer's order.
- **Brokerage practices:** In some countries, investment managers may use arrangements in which brokerage commissions are used to pay for external research. These are referred to as soft money (soft dollar) arrangements. Rather than paying cash for the research, the broker directs transactions to a provider. The payment of commissions on those transactions, possibly made from client accounts, give the brokerage firm access to the research produced by the provider. Regulators may have regulations regarding the use of such arrangements because client transactions could be directed to gain access to research rather than being used in clients' interests.

1.4.5 PROXY VOTING RULES

Proxy voting rules refer to the guidelines and procedures governing how shareholders can vote on corporate matters when they cannot attend the meeting in person. These rules are crucial for ensuring that shareholder rights are upheld, votes are cast accurately, and decisions are made transparently. Proxy voting is common in corporate governance and mutual fund contexts. Key Aspects of Proxy Voting Rules are:

- **Definition of Proxy Voting**
 - **Proxy Voting:** A process where shareholders authorise another party (a proxy) to vote on their behalf at shareholder meetings.
 - **Proxy Holder:** The individual or institution (e.g., fund manager, board member) appointed to vote.
- **Eligibility Rules**
 - **Share Ownership:** Only shareholders of record on a specified date (record date) are eligible to vote by proxy.
 - **Voting Rights:** Shareholders can vote based on the number of shares they hold (e.g., one vote per share).
- **Proxy Solicitation Rules**
 - **Disclosure Requirements:** Companies must disclose all relevant information about proposals being voted on (e.g., annual reports, resolutions).
 - **Fair Communication:** Proxy materials must be distributed to shareholders in a timely and equitable manner.
 - **Regulatory Compliance:** Proxy solicitation must adhere to rules set by governing bodies
- **Proxy Voting Mechanisms**
 - **Appointment of Proxy:** Shareholders must complete a proxy form to designate their proxy holder.
 - **Submission of Votes:** Votes can be submitted through various channels, such as mail, online platforms, or phone systems.
 - **Deadline for Submission:** Proxy votes must be submitted by a specific deadline before the meeting.
- **Voting Instructions**
 - **Specific Instructions:** Shareholders can direct the proxy holder to vote in a particular way on specific issues.
 - **Discretionary Authority:** Shareholders can allow the proxy holder to vote at their discretion on unspecified matters.
- **Proxy Voting in Fund Management**
 - **Fiduciary Responsibility:** Fund managers voting on behalf of clients must act in the best interest of the investors.
 - **Voting Policies:** Institutional investors must have clear proxy voting policies and disclose their voting records.
 - **Conflict of Interest:** Fund managers must avoid conflicts of interest when casting proxy votes.
- **Regulatory Requirements**
 - **Proxy Statements:** Public companies must issue a proxy statement (e.g., Form DEF 14A in the U.S.) detailing the items to be voted on.

- **Record-Keeping:** Proxy votes and related materials must be documented and retained for a specified period.
- **Transparency:** Proxy votes and their rationales must be disclosed to shareholders in some jurisdictions.
- **Shareholder Proposals:** Shareholders have the right to submit proposals to be included in the proxy statement, provided they meet specific requirements (e.g., share ownership thresholds, submission deadlines).

Benefits of Proxy Voting Rules	Challenges in Proxy Voting
Empowers Shareholders: Enables participation in corporate decisions without physical attendance.	Low Participation Rates: Many shareholders fail to exercise their proxy voting rights
Enhances Governance: Ensures accountability of management and alignment with shareholder interests.	Complexity of Proposals: Shareholders may find it difficult to understand technical or legal proposals.
Promotes Transparency: Facilitates informed decision-making through disclosure requirements.	Conflicts of Interest: Proxy advisors and fund managers may face conflicts that affect their voting decisions

Effective proxy voting rules play a critical role in corporate governance by balancing the rights of shareholders with the efficient operation of companies.

1.4.6 ANTI - MONEY - LAUNDERING RULES

Money Laundering is the process used by criminals to hide, conceal or disguise the nature, source, location, disposition or movement of the proceeds of unlawful activities or any interest which anyone has in such proceeds.

Some organisations that help combat money laundering include:

- **Financial Action Task Force (FATF):** An inter-governmental body that sets standards and promotes policies to combat money laundering and terrorist financing. South Africa is a member of FATF.
- **Eastern and Southern Africa Anti-Money Laundering Group (ESAAMLG):** A regional body of the FATF that helps countries in the region implement global AML/CFT standards

	Further READING Read the FSCA's article: Anti-Money Laundering, Counter-Terrorism Financing, Counter-Proliferation Financing You can access the article using the following link: https://www.fsca.co.za/Regulatory%20Frameworks/Pages/AMLCFT.aspx
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	Further READING Read the SARB's article: Anti-Money Laundering and Countering the Financing of Terrorism (AML/CTF) You can access the article using the following link: https://www.resbank.co.za/en/home/what-we-do/Prudentialregulation/anti-money-laundering-and-countering-the-financing-of-terrorism
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Governments naturally want to deter such activities, and they may use their regulatory power over companies in the financial services industry to do so.

Regulations may require companies to confirm and record the identity of their clients; to report payments, such as dividends, to tax authorities; and to report various other activities, such as large cash transactions.

1.4.7 BUSINESS CONTINUITY PLANNING RULES

Given the essential nature of financial services to the economy, regulators may be concerned about business continuity in the event of disasters, such as fires, floods, earthquakes, and epidemics.

Regulators want to be assured that customer records are adequately backed up and that companies have plans in place to recover from a disaster. Below some rules related to Business Continuity Planning (BCP):

- **Identify critical functions:** Consider the scope of your BCP and evaluate the impact of a disruption to your critical functions.
- **Document roles and responsibilities;** Ensure that key personnel know their roles and responsibilities in the event of a disruption.
- **Test and update regularly:** Test your BCP regularly to identify weaknesses and update it as needed. Test scenarios should simulate various disruptions to evaluate how your business would respond.

- **Include a contingency plan:** A contingency plan should include procedures for a variety of external scenarios, such as hardware replacement, damage assessment, and leasing emergency office spaces.
- **Set recovery time objectives (RTOs):** Set RTOs for different systems, networks, or applications to help prioritise which elements must be recovered first.
- **Design for resilience:** Design your critical functions and infrastructure with various disaster possibilities in mind. This can include data redundancy, staffing rotations, and maintaining a surplus of capacity.
- **Ensure compliance:** BCP is essential for compliance because it helps organisations meet regulatory requirements, protect sensitive information, and ensure the continuity of critical operations.

1.4.8 COMPANY POLICIES AND PROCEDURES

Companies within the investment industry, like all companies, are expected to have policies and procedures (also referred to as corporate policies and procedures) in place to ensure employees' compliance with applicable laws and regulations. Policies are principles of action adopted by a company. Procedures are what the company must do to achieve the desired outcome.

Policies and procedures establish desired behaviours, including behaviours with respect to regulatory compliance.

- **Supervision within Companies:**
 - Supervision starts even before a new employee joins a company.
 - The company should conduct background checks to make sure that the prospective employee is competent and of good character.
 - The employee's initial orientation and training should emphasise the importance of compliance with corporate policies and procedures and with relevant regulations.
 - It is not enough to train new employees. It is important to also provide continuing education to reinforce the mission-critical nature of compliance with corporate policies and procedures and with relevant regulations.
- **Compensation Plans:**
 - Companies need to be aware of the potential effects of compensation plans on employees' behaviour. For example, bonuses for reaching target sales levels may motivate employees to make more sales, but they may also motivate employees to break rules and engage in deception to make those sales.
 - Adherence to good compliance practices should be a standard part of employees' performance reviews and a factor in determining bonuses.
- **Procedures for Handling Violations:**
 - No matter how honest and well-meaning employees are, sooner or later, there will be some rule violations.
 - A culture of cover-up is dangerous for a company because once unethical employees discover that it is possible to hide problems, they will be tempted to take advantage of that.
 - Companies need to have procedures in place for employees to report problems without fear of retribution, as well as procedures for handling problems in an effective manner.

1.5. CONSEQUENCES OF COMPLIANCE FAILURE

Failure to comply with regulations and policies and procedures can have significant consequences for employees, managers, customers, the company, the financial industry, and the economy. Companies may fire employees and managers that fail to comply with regulations and policies and procedures.

When a regulatory action occurs, even if no formal charges are brought, the legal costs to individuals and firms involved in dealing with it can be high.

- **Regulators:** have many ways of disciplining firms and individuals that violate informal rules. Sanctions for individuals may include fines, imprisonment, loss of license, and a lifetime ban from the financial industry. When subordinates violate rules, managers may also face consequences for failure to supervise. Even long after the issue is resolved, the regulatory sanctions remain a matter of public record that can haunt the individuals involved for the rest of their lives. The economic damage from loss of reputation can be huge.
- **Companies:** also face sanctions including fines, loss of licenses, and forced closure. A company may be forced to spend significant resources in corrective actions, such as hiring outside consultants, to demonstrate compliance. Companies interact with regulators on an ongoing basis, so running afoul of a regulator's opinion in one area can lead to problems in other areas.

Compliance failures affect more than just the company and its employees. Customers and counterparties can be harmed and trust in the financial industry and financial markets damaged. Customers may lose their life savings and counterparties may suffer losses. At the extreme, the failure of one large company in the financial services industry can lead to a catastrophic chain reaction (contagion) that results in the failure of many other companies, causing serious damage to the economy.

	Further READING Read the FCA's article: Understanding the Consequences of Non-Compliance: Risks and Penalties You can access the article using the following link: https://financialcrimeacademy.org/consequences-of-non-compliance/
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	WATCH the Video: The High Stakes of Non-Compliance
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Further **READING**

Read the Sprinto's article:
Tips to Avoid Consequences of Non-Compliance

You can access the article using the following link:
<https://sprinto.com/blog/consequences-of-non-compliance/>

CHAPTER 2

FINANCIAL MARKETS REGULATIONS

2.1. INTRODUCTION

South Africa has complicated banking systems that attempt to provide for institutional safety, consumer protection, and economic stability. However, new legislation that aims to give effect to the current South African adoption of the Twin Peaks model seeks to unify and consolidate our banking laws. Initially, it seemed as if 2019 would be set to be the year that the defragmentation of the vast array of laws governing this aspect would occur. Regrettably, at the time of writing this article, a more realistic expectation would see the consolidation of our legislation set to begin occurring in 2020.

Our system is regarded as fragmented due to the vast amount of legislation which governs this field in practice. These laws operate in tandem, are mutually inclusive of one another, and find harmony in their interpretation.

2.2. SOUTH AFRICAN REGULATORS

The two primary regulators in the financial sector:

- **Financial Sector Conduct Authority (FSCA):** FSCA is the market conduct regulator that supervises financial institutions, including banks, insurers, and retirement funds.
- **South African Reserve Bank (SARB):** SARB is the regulator of banks and also monitors adherence to exchange control regulations.
 - **Prudential Authority (PA)** is a prudential regulator that oversees the safety and soundness of financial institutions, including banks, insurers, and financial conglomerates. The PA is part of the South African Reserve Bank (SARB).
- **Payment Association of South Africa (PASA):** A payment system management body that organises, manages, and regulates the participation of its members in the payment system.

The Twin Peaks Model

In June 2011, Cabinet approved the move towards the Twin Peaks model. The Twin Peaks model for financial sector regulation was proposed as a means to reform the regulatory and supervisory system for financial institutions and market infrastructures.

The Financial Sector Regulation (FSR) Act was signed into law on 21 August 2017, marking an important milestone on the journey towards a safer and fairer financial system that is able to serve all citizens.

The FSR Act gives effect to three important changes to the regulation of the financial sector. Firstly, it gives the SARB an explicit mandate to maintain and enhance financial stability. Secondly, it creates a prudential regulator – the Prudential Authority (PA) – within the administration of the SARB. The PA is responsible for regulating banks (commercial, mutual and co-operative banks), insurers, co-operative financial institutions, financial conglomerates and certain market infrastructures. Thirdly, the FSR Act establishes a market conduct regulator – the Financial Sector Conduct Authority (FSCA) – which is a national public entity.

The transition to the Twin Peaks model of regulation is being implemented in phases. The first phase was to establish the respective regulatory authorities – the PA and FSCA. The second phase entails developing, harmonising and strengthening the legal frameworks for prudential and market conduct regulation and supervision”.

(SOURCE: <https://www.resbank.co.za/en/home/what-we-do/Prudentialregulation>)



The Financial Sector Regulation Act (FSR Act) of 2017 created the PA and FSCA, and established South Africa's "Twin Peaks" model of financial sector regulation.



LEARNING MORE

You can learn more about PASA on their website:

<https://pasa.org.za/>



Further READING

Read the article:
SARB Regulatory Strategy (2021)



Further READING

Read the SARB's article:
Regulated Institutions

You can access the article using the following link:

<https://www.resbank.co.za/en/home/what-we-do/Prudentialregulation/regulated-institutions>

2.2.1. SOUTH AFRICAN RESERVE BANK

The South African Reserve Bank (SARB) is the central bank of South Africa, responsible for maintaining the stability and integrity of the country's financial system. Established in 1921, it operates as an independent institution, guided by a mandate to ensure price stability, financial stability, and the effective functioning of the South African economy

Key Roles and Responsibilities of SARB

- **Monetary Policy**
 - **Objective:** Maintain price stability by controlling inflation within a target range (currently 3-6%).
 - **Instruments:** Adjusting the repurchase rate (repo rate) to influence borrowing and lending rates across the economy.
 - **Inflation Targeting:** Ensures that inflation does not erode the purchasing power of the currency.
- **Currency Issuance**
 - **Issuing Legal Tender:** SARB is the sole authority for issuing South Africa's currency, the Rand (SAR).
 - **Currency Stability:** Ensures that the currency retains its value and facilitates trade and investment.
- **Financial Stability**
 - **Supervision:** Oversees and regulates banks and financial institutions to mitigate systemic risks.
 - **Resolution Framework:** Ensures orderly resolution of failing banks to protect depositors and maintain confidence in the banking system.
- **Foreign Exchange Management**
 - **Exchange Rate Policy:** Manages South Africa's floating exchange rate system, intervening in the forex market when necessary.
 - **Foreign Reserves:** Maintains and manages the country's foreign currency reserves to buffer against external shocks.
 - Exchange control
- **Payment Systems**
 - **Oversight:** Ensures efficient functioning and safety of South Africa's payment systems, enabling smooth economic transactions.
 - **Settlement Systems:** Operates systems like the South African Multiple Option Settlement (SAMOS) system

Structure of SARB

- **Governance**
 - **Board of Directors:** Includes a Governor, Deputy Governors, and non-executive directors who oversee the operations of SARB.
 - **Governor.**
 - **Shareholding:** SARB is unique among central banks as it has private shareholders. However, shareholders have limited influence, as the bank's policies are determined independently.

- **Key Tools Used by SARB**
 - **Repo Rate Adjustments:** To control money supply and inflation.
 - **Open Market Operations:** Buying or selling government securities to influence liquidity.
 - **Minimum Reserve Requirements:** Regulates the reserves that commercial banks must hold.

Mandate of SARB

SARB's mandate is guided by the South African Constitution and the Reserve Bank Act (Act No. 90 of 1989). Its primary goals include:

- **Price Stability:** Ensuring inflation remains within the target range.
- **Support for Economic Growth:** While not its primary mandate, SARB considers economic growth when implementing policies.
- **Financial System Stability:** Safeguarding the integrity of the banking system.

Challenges and Criticisms

- **Inflation vs. Growth:** Balancing inflation control with stimulating economic growth can be difficult, especially during downturns.
- **Independence Concerns:** There have been debates about whether the SARB should be nationalised, potentially affecting its independence.
- **Exchange Rate Volatility:** Managing the currency's value in a global environment can be challenging given external economic shocks.

The South African Reserve Bank plays a crucial role in fostering confidence in the economy, supporting sustainable economic growth, and ensuring that South Africa remains integrated into the global financial system. Its policies significantly impact the lives of South African citizens, influencing interest rates, inflation, and overall economic stability.



Further READING

resbank.co.za

2.2.2. FINANCIAL SECTOR CONDUCT AUTHORITY (FSCA)

The Financial Sector Conduct Authority (FSCA) is South Africa's primary regulator for market conduct in the financial sector. It was established under the Financial Sector Regulation Act (FSRA) of 2017 and replaced the former Financial Services Board (FSB). The FSCA plays a pivotal role in promoting integrity, efficiency, and fairness in South Africa's financial markets. Its key roles include:

- **Market Conduct Regulation**
 - Ensures that financial institutions, such as banks, insurers, and investment firms, treat customers fairly.
 - Regulates how financial products and services are marketed, sold, and managed to protect consumers

- **Consumer Protection**
 - Promotes financial education and awareness among consumers to empower them to make informed decisions.
 - Handles complaints and ensures that financial institutions comply with customer service standards.
- **Industry Supervision**
 - Monitors and enforces compliance with laws and regulations governing financial institutions.
 - Oversees licensing of financial service providers (FSPs) and ensures they adhere to ethical practices.
- **Market Stability and Integrity**
 - Works to enhance confidence in South Africa's financial markets by ensuring transparency and accountability.
 - Prevents and addresses market abuses, such as insider trading and financial fraud.
- **Transformation and Inclusivity**
 - Encourages the transformation of the financial sector to ensure inclusivity, particularly for previously disadvantaged groups.
 - Monitors compliance with the Financial Sector Code under the Broad-Based Black Economic Empowerment (BBBEE) framework
- **Collaboration with Other Regulators**
 - Partners with the South African Reserve Bank (SARB) and the Prudential Authority to implement the Twin Peaks regulatory framework.
 - The FSCA focuses on market conduct and consumer protection.
 - The Prudential Authority focuses on the safety and soundness of financial institutions.

The FSCA is critical in ensuring that South Africa's financial sector remains resilient, transparent, and consumer-focused while contributing to the broader economic growth and transformation of the country

2.2.3. NATIONAL CREDIT REGULATOR (NCR)

The National Credit Regulator (NCR) is the regulatory body established under the National Credit Act (NCA) No. 34 of 2005 to oversee the credit industry in South Africa. Its primary aim is to promote responsible credit practices and protect consumers from over-indebtedness and abusive practices.

The Act requires the Regulator to promote the development of an accessible credit market, particularly to address the needs of historically disadvantaged persons, low-income persons, and remote, isolated or low-density communities.

The NCR is also tasked with the registration of credit providers, credit bureaux and debt counsellors, and with the enforcement of compliance with the Act. Below are the NCR's key roles and responsibilities:

- **Regulating the Credit Industry**
 - Registers all participants in the credit market, including credit providers, debt counselors, payment distribution agents, and credit bureaus.
 - Ensures that registered entities comply with the provisions of the National Credit Act. The Act and take action against contravening institutions.
- **Promoting Responsible Credit Practices**
 - Encourages responsible borrowing and lending to prevent over-indebtedness.
 - Monitors credit providers to ensure that loans are granted based on affordability assessments.
- **Protecting Consumer Rights**
 - Safeguards consumers from unfair lending practices and reckless credit granting.
 - Provides mechanisms for resolving disputes between consumers and credit providers.
 - Ensures that consumers receive clear, accurate, and understandable information about credit agreements.
- **Monitoring Compliance**
 - Investigates complaints of non-compliance with the NCA by credit providers, credit bureaus, or other entities.
 - Enforces corrective action or imposes penalties for violations of the Act.
- **Debt Counseling and Rehabilitation**
 - Oversees and regulates debt counseling services to assist over-indebted consumers in restructuring their debt obligations.
 - Works with payment distribution agents to manage payments for consumers under debt review.
- **Regulation of Credit Bureaus**
 - Monitors the operations of credit bureaus to ensure the accuracy of consumer credit records.
 - Ensures that consumers have the right to access and dispute incorrect information on their credit profiles
- **Advocacy and Consumer Awareness**
 - Educates consumers about their rights and responsibilities in the credit market.
 - Promotes awareness of the dangers of over-indebtedness and the importance of managing credit wisely.
- **Investigations and Enforcement**
 - Conducts investigations into credit providers suspected of engaging in reckless lending or other prohibited practices.
 - Refers matters to the National Consumer Tribunal (NCT) for adjudication, where necessary.
- **Setting and Reviewing Industry Standards**
 - Develops guidelines and regulations for credit practices in line with the NCA.
 - Regularly reviews and updates credit regulations to address emerging issues in the credit market.

The NCR is instrumental in ensuring that South Africa's credit industry is fair, transparent, and equitable, helping to create a credit market that supports economic growth while safeguarding consumer interests.



Further **READING**

<http://www.ncr.org.sa/>

2.2.4. JSE LIMITED (THE JSE)

Johannesburg Stock Exchange (JSE) is South Africa's only full-service securities exchange, connecting buyers and sellers in five different financial markets: equities, equity derivatives, commodity derivatives, currency derivatives and interest rate instruments.

The JSE currently acts as the frontline regulator, setting listings requirements and enforcing trading rules, while the financial sector conduct authority (FSCA), supervises the JSE in the commission of its regulatory duties.

As the JSE has no criminal or civil jurisdiction, the FSCA also processes any cases where legislation has been contravened.

A new regulatory oversight framework – the 'twin peaks' model' was recently introduced in the South African financial market. The two new 'twin peaks' regulators: prudential authority (PA) and FSCA, were established on 1 April 2018. The PA, which is established within the Reserve Bank, is responsible for prudential supervision of banks, insurance companies and market infrastructures (e.g. exchanges and clearing houses). The FSCA is responsible for the supervision of the conduct of financial institutions including market infrastructures and replaces the financial services board (FSB).

The JSE will continue to act as frontline regulator, reporting to the FSCA as the lead regulator.

South Africa was ranked third in the world in terms of the regulation of securities exchanges in the World Economic Forum's Global Competitiveness Survey for 2016 - 2017. This is an accolade for both the JSE and its regulators.

Below are the primary functions, structure, and roles of the JSE:

- **Market Functions and Services**
 - **Equity Market:** Facilitates the buying and selling of shares in listed companies. Investors can trade shares of leading South African and international companies.
 - **Bond Market:** Provides a platform for trading government and corporate bonds, offering fixed-income investment options.
 - **Derivatives Market:** Offers a wide range of derivatives, including futures and options on equities, bonds, interest rates, currencies, and commodities.
 - **Commodities Market:** Enables trading in commodities such as precious metals and agricultural products through derivative instruments.
- **Capital Raising and Listings**
 - Provides a marketplace where companies can list their shares to raise capital for growth and expansion.
 - Promotes the Primary Listings Market for companies domiciled in South Africa and Secondary Listings Market for international companies seeking a dual listing.

- Sets and enforces strict listing requirements to ensure that listed entities adhere to high standards of corporate governance, transparency, and accountability.
- **Market Regulation and Investor Protection**
 - Acts as a Self-Regulatory Organisation (SRO) under the oversight of the Financial Sector Conduct Authority (FSCA).
 - Ensures that all trades are fair and transparent, with systems in place to detect and prevent market manipulation or insider trading.
 - Provides a T+3 settlement system (trade date plus three days) to ensure timely and secure settlement of transactions.
- **Technology and Trading Systems**
 - Uses advanced electronic trading systems to facilitate high-speed transactions and offer efficient price discovery.
 - Implements surveillance systems to monitor trading activities and maintain market integrity.
 - Provides data feeds and market analytics to investors, analysts, and stakeholders for informed decision-making.
- **Indices and Market Benchmarks**
 - Maintains several key indices, including the FTSE/JSE Top 40 Index, All Share Index (ALSI), and the FTSE/JSE Africa Index Series.
 - Offers benchmarks for performance measurement across sectors and for diverse types of investment strategies.
- **Investment and Economic Role**
 - Facilitates domestic and international investment in South African assets, supporting economic development and job creation.
 - Connects local businesses with global investors, encouraging foreign direct investment.
 - Plays a vital role in economic policy discussions by serving as an indicator of investor sentiment and economic health.
- **Corporate Governance and Responsibility**
 - Sets standards for corporate governance, aligned with the King IV Report on Corporate Governance principles.
 - Encourages sustainable business practices and offers platforms for trading green and sustainable bonds.
 - Promotes inclusivity and transformation within South Africa's economy by providing access to capital markets for small- and medium-sized enterprises (SMEs).
- **Investor Education and Awareness**
 - Conducts educational programs and workshops to promote financial literacy and empower investors with knowledge about trading, risks, and opportunities.
 - Engages in community development and corporate social responsibility initiatives.

The JSE is critical for fostering economic growth, supporting corporate finance, and providing a secure platform for investors. It not only serves as a gateway for African investment but also links South Africa's financial system with the broader global economy



Further **READING**

<http://www.jse.co.sa/>

2.3. SOUTH AFRICA'S TWIN PEAK'S MODEL

The legislation implementing the new model in South Africa is the Financial Sector Regulation Act, tabled in Parliament in October 2015 and enacted in August 2017. The new regulatory model does away with the notion of multiple regulators: one each for banks, insurers and medical aid schemes.

Under the twin peaks model, the financial services industry and related structures will have two regulators: a prudential regulator (PA), which will operate within the SARB, and a new market conduct regulator, which will be established from a restructured Financial Services Board (FSB)

Transitional arrangements were adopted for the establishment of the two Twin Peaks regulators, with the Prudential Authority (PA) being established on 1 April 2018, and the Financial Sector Conduct Authority (FSCA) a year later on 1 April 2019.

- The PA is vested in the South African Reserve Bank (SARB) and is responsible for the prudential regulation and supervision of financial conglomerates, banks, insurers, corporate banks, co-operative financial institutions and certain financial market infrastructures. The role of the PA is to ensure the soundness of these institutions and infrastructures in order to maintain financial stability. The CEO of the PA is the SARB Deputy Governor.
- The FSCA, which replaced the Financial Services Board (FSB), is responsible for regulating and supervising the conduct of financial institutions. Its roles are consumer protection and to ensure that the financial system is not distorted through market misconduct. The FSCA is headed by a Commissioner appointed by the Minister of Finance.

The PA and FSCA have the power to create regulatory standards, and alongside them sit four other authorities which are collectively responsible for South Africa's financial regulation:

- **SARB:** now with new financial stability powers and continues with its mandates for monetary policy, payment system oversight and foreign exchange transactions oversight.
- **National Credit Regulator (NCR):** established in 2005 and continues overseeing the conduct of credit providers.
- **Financial Intelligence Centre (FIC):** established in 2001 to fight money laundering, whose primary role is to protect the integrity of the financial system.
- **Ombud's:** which operate under the Financial Services Ombud Schemes Act of 2004 and might amalgamate into a single financial dispute resolution system.

2.4. NATIONAL TREASURY

The National Treasury's legislative mandate is also described in the Public Finance Management Act. The National Treasury is mandated to: promote government's fiscal policy framework; coordinate macroeconomic policy and intergovernmental financial relations; manage the budget preparation process; facilitate the Division of Revenue Act, which provides for an equitable distribution of nationally raised revenue between national, provincial and local government; and monitor the implementation of provincial budgets.

As mandated by the executive and Parliament, the National Treasury will continue to support the optimal allocation and utilisation of financial resources in all spheres of government to reduce poverty and vulnerability among South Africa's most marginalised.

The National Treasury of South Africa has outlined several key priorities to address the country's economic challenges and promote sustainable growth. As of December 2024, these priorities include:

- **Fiscal Consolidation and Debt Stabilisation**
 - **Budget Deficit Reduction:** The Treasury aims to narrow the budget deficit to 4.4% of GDP in the 2024/25 fiscal year, slightly improving upon the 4.5% forecasted in February. This effort is part of a broader strategy to reduce debt interest payments and maintain fiscal discipline.
 - **Debt Stabilisation:** With gross debt projected to stabilise at 75.5% of GDP by 2025/26, the Treasury is committed to implementing measures that curb the growth of public debt and ensure fiscal sustainability.
- **Economic Growth and Infrastructure Development**
 - **Growth Projections:** The government has adjusted its GDP growth target to 1.1% for 2024, down from the previous 1.3%, acknowledging significant economic challenges. Despite this, efforts continue to enhance the investment appeal of the South African economy.
 - **Infrastructure Investment:** Emphasising infrastructure development, particularly in energy and transportation, the Treasury seeks to stimulate economic activity and improve service delivery. Initiatives include upgrading the freight rail network and investing in renewable energy projects.
- **Structural Reforms**
 - **State-Owned Enterprises (SOEs):** Addressing operational and governance failures in SOEs like Eskom and Transnet is a priority. Reforms aim to enhance efficiency and reliability in electricity supply and logistics, which are critical for economic growth.
 - **Sectoral Reforms:** Broad reforms are underway in sectors such as energy, freight, water, and telecommunications to improve service delivery and create a conducive environment for investment.
- **Social Investment**
 - **Social Wage Allocation:** The 2024 Budget allocates a significant portion of spending to the social wage, aiming to protect critical services and support vulnerable populations amid economic challenges.
 - **Inclusive Growth:** The government is committed to promoting inclusive economic growth that benefits previously marginalised communities, addressing issues of unemployment, poverty, and inequality.

- Revenue Enhancement

- Tax Revenue Collection:** Efforts are underway to strengthen tax revenue collection, with a focus on improving efficiency and compliance to support fiscal consolidation efforts.

These priorities reflect the National Treasury's commitment to balancing development needs with fiscal sustainability, implementing structural reforms, and promoting inclusive economic growth in South Africa.

The South African National Treasury roles and responsibilities are defined by the Public Finance Management Act (PFMA) and the Constitution of South Africa. Below is an overview of its key functions:

Fiscal Policy Management	- Formulate and implement fiscal policy to support economic growth and stability. - Prepare and present the national budget, outlining government spending and revenue collection plans. - Ensure macroeconomic stability by managing public debt, inflation, and fiscal deficits.
Budgeting and Expenditure Control	- Allocate financial resources to different government departments and public entities in line with national priorities. - Monitor and evaluate government expenditure to ensure efficiency and effectiveness. - Provide guidelines for budget preparation and enforce compliance with budgetary processes.
Revenue Collection Oversight	- Oversee revenue collection policies and systems, including those implemented by the South African Revenue Service (SARS). - Develop tax policies that support equitable growth and efficient revenue generation.
Public Financial Management	- Set standards and provide support for sound financial management practices in government departments and municipalities. - Monitor and enforce compliance with the Public Finance Management Act (PFMA) and the Municipal Finance Management Act (MFMA).
Public Debt Management	- Manage South Africa's national debt to ensure borrowing is done sustainably and cost-effectively. - Issue government bonds and securities to finance budget deficits.
Intergovernmental Financial Relations	- Allocate funds to provinces and municipalities based on the Division of Revenue Act (DORA). - Support and monitor financial management in provincial and local governments.
Economic Policy Development	- Conduct economic analysis and provide policy advice to promote sustainable economic growth. - Collaborate with other departments on initiatives to combat unemployment, poverty, and inequality.

Public Sector Reform	▪ Drive initiatives to modernise public sector financial management and improve service delivery. ▪ Promote transparency, accountability, and efficiency in government financial practices.
Anti-Corruption and Governance	▪ Establish and maintain systems to combat corruption and promote good governance in financial management. ▪ Monitor compliance with procurement policies and practices to prevent misuse of public funds.
Development Finance	▪ Oversee and manage government financial support programs for infrastructure development, small business financing, and other developmental projects. ▪ Liaise with international financial institutions like the World Bank and IMF.
Asset and Liability Management	▪ Manage state-owned assets and ensure effective investment and divestment strategies. ▪ Monitor and regulate contingent liabilities, including guarantees issued to state-owned enterprises (SOEs).

The National Treasury plays a critical role in supporting the broader economic goals of South Africa while maintaining fiscal discipline and promoting good governance

CHAPTER 3

SOUTH AFRICAN LEGISLATION & REGULATIONS

3.1. FINANCIAL SECTOR REGULATION ACT (FSRA)

The Financial Sector Regulation Act No. 9 of 2017 was published in Government Gazette No. 41060 on 22 August 2017. The Act introduces the Twin Peaks model of financial sector regulation in South Africa. Twin Peaks places equal focus on prudential and market conduct supervision. This is done by creating dedicated authorities responsible for each of these objectives.

The purpose of the Act is to achieve a stable financial system that works in the interests of financial customers and supports balanced and sustainable economic growth. It wants to achieve this by establishing, together with the specific financial sector laws, a regulatory and supervisory framework that promotes certain principles and objectives. Some of these are financial stability, the safety and soundness of financial institutions and the fair treatment and protection of financial customers. A list of financial sector laws is set out in the Act and includes the Pension Funds Act, Banks Act and Financial Advisory and Intermediary Services Act.

The FSRA outlines the roles and responsibilities of the key regulatory authorities in the financial sector, particularly the Prudential Authority and the Financial Sector Conduct Authority (FSCA).

Here are the primary roles and responsibilities under the FSRA:

3.1.1. PRUDENTIAL AUTHORITY

The Prudential Authority (PA) is a regulatory body within the administration of the South African Reserve Bank (SARB). Some of the objectives of the PA include:

- **Financial Stability Oversight:** The Prudential Authority is responsible for ensuring the overall stability of the financial system. It monitors risks to the financial system and addresses systemic issues that could affect the stability of the financial sector.
- **Regulation of Financial Institutions:** The PA regulates and supervises financial institutions (such as banks, insurance companies, and pension funds) to ensure they operate in a sound and financially secure manner. This includes setting and enforcing prudential standards (e.g., capital adequacy, liquidity, and risk management).

- **Licensing and Supervision:** The PA oversees the licensing, regulation, and supervision of financial institutions, ensuring compliance with regulatory requirements.
- **Crisis Management:** In the event of financial instability or crises, the PA takes action to mitigate risks and protect the interests of depositors, investors, and the broader economy's financial stability.

The PA also co-operates with and assists other regulators such as the Council for Medical Schemes, Competition Commission and the National Credit Regulator (NCR) on matters of mutual interest and as required in the Act.

3.1.2. FINANCIAL SECTOR CONDUCT AUTHORITY

The Financial Sector Conduct Authority (FSCA) replaces the Financial Services Board. It is a regulatory body within the administration of the Financial Intelligence Centre (FIC). The objectives of the FSCA includes:

- **Consumer Protection:** The FSCA is tasked with protecting the rights and interests of financial services consumers. It ensures that financial products and services are fair, transparent, and meet the needs of consumers.
- **Market Conduct Oversight:** The FSCA monitors the conduct of financial institutions and financial services providers to ensure they adhere to fair business practices. This includes addressing issues related to market manipulation, fraud, mis-selling, and other forms of misconduct.
- **Conduct Regulation:** The FSCA enforces conduct standards for financial services providers, including ensuring that they adhere to fair treatment of customers and that their advertising and marketing practices are accurate and clear.
- **Financial Literacy:** The FSCA plays a role in promoting financial literacy and empowering consumers with the knowledge they need to make informed financial decisions.
- **Licensing and Supervision of Non-Prudential Entities:** The FSCA supervises a wide range of non-prudential entities, such as financial advisors, asset managers, and retirement funds, ensuring that they meet regulatory requirements and act in the best interest of clients.

To achieve its outcomes, the FSCA regulates and supervises the conduct of financial institutions. It also co-operates with and assists other regulators such as the Council for Medical Schemes, Competition Commission and the NCR on matters of mutual interest and as required in the Act.

Cooperative regulation of the financial sector	▪ The FSRA mandates the coordination between the Prudential Authority and the FSCA, ensuring that the two authorities work together to address both prudential risks and conduct risks in the financial sector. ▪ It also allows for the establishment of a Financial Services Tribunal, which adjudicates disputes related to financial services regulation.
Regulation of systemically important financial institutions (sifis)	Under the FSRA, the authorities are responsible for identifying and regulating systemically important financial institutions, which have a larger impact on the financial system. This includes ensuring these institutions adhere to stricter regulatory standards to mitigate the risk they pose to the broader financial system.
Developing financial sector policies	The FSRA allows the authorities to collaborate in the development of policies aimed at improving the financial sector, such as ensuring greater inclusivity, improving access to financial services, and enhancing financial market integrity.
Protection of financial stability	The Act provides a framework for monitoring and addressing potential systemic risks in the financial system. The Prudential Authority, in particular, is tasked with identifying threats to financial stability and taking corrective actions, while the FSCA focuses on ensuring that market conduct does not undermine confidence in the financial sector.
Transparency and reporting	Both the Prudential Authority and the FSCA are required to promote transparency in the financial sector. This involves mandating regular reporting by financial institutions and ensuring that consumers and investors have access to the necessary information to make informed decisions.
Cross-border supervision	The FSRA also ensures that South African regulators cooperate with international counterparts in regulating cross-border financial transactions and institutions. This is critical for addressing global financial risks and maintaining South Africa's reputation in international markets.

The Financial Sector Regulation Act seeks to enhance the robustness and fairness of South Africa's financial sector. By establishing clear roles for the Prudential Authority and the FSCA, it ensures that both financial stability and consumer protection are prioritised. The Twin Peaks model allows for a comprehensive approach to regulation, focusing on both the soundness of financial institutions and the fair treatment of consumers, which is crucial for building a resilient financial system.

3.2. COLLECTIVE INVESTMENT SCHEMES CONTROL ACT

Collective investment schemes in securities are governed by the Collective Investment Schemes Control Act 2002 (CISCA).

Financial services providers to whom a manager of a collective investment scheme in securities may delegate certain functions, such as investment management, are governed by the Financial Advisory and Intermediary Services Act 2002 (FAIS Act).

The Collective Investment Schemes Control Act (CISCA), 2002, regulates and oversees collective investment schemes in South Africa. It was designed to provide a framework for the management, administration, and regulation of collective investment schemes (CIS), such as unit trusts and mutual funds, ensuring that these schemes operate in a transparent, fair, and regulated manner.

Here are the key aspects and roles of CISCA:

Definition and Scope

- **Collective Investment Schemes:** CISCA governs investment schemes where pooled funds from investors are managed by a fund manager. Investors buy shares or units in the fund, and their returns are derived from the collective pool of investments. These schemes are typically structured as unit trusts or mutual funds.

The Act covers public collective investment schemes (open-ended funds) and closed-ended schemes, with a primary focus on protecting investors and ensuring proper governance of these funds.

Roles and Responsibilities:

CISCA outlines the roles of various parties involved in the operation of collective investment schemes:

- **Fund Managers:** The management company or fund manager is responsible for the day-to-day operations of the collective investment scheme. They are tasked with investment decisions, managing the portfolio of assets, and ensuring compliance with CISCA and other relevant regulations.
 - They must adhere to guidelines regarding investment limits, portfolio composition, and diversification.
 - The fund manager must act in the best interests of investors and ensure that the fund is operated with integrity and transparency.

- **Trustees/Custodians:** These are independent entities appointed to protect the interests of investors. Their role is to:
 - Safeguard the assets of the collective investment scheme.
 - Ensure that the fund manager complies with the CISC regulations and the fund's investment mandate.
 - Oversee the activities of the fund manager to ensure no conflict of interest and that the funds are managed in accordance with the scheme's trust deed.
- **Administrators:** Administrators are responsible for the operational aspects of managing the fund, such as unit pricing, distribution of dividends, and investor servicing. They also ensure compliance with the regulatory requirements set forth in CISC.

Regulatory Framework and Oversight:

The Financial Sector Conduct Authority (FSCA) is the primary regulator for collective investment schemes in South Africa.

The FSCA ensures compliance with CISC, monitors the conduct of fund managers, and safeguards investor interests.

The FSCA is responsible for:

- Issuing licenses to fund managers and other entities involved in collective investment schemes.
- Monitoring the performance of CIS and investigating any irregularities or breaches of the Act.
- Enforcing transparency and disclosure requirements to ensure that investors have access to accurate and up-to-date information about their investments.

Investor Protection and Transparency

- **Disclosure Requirements:** CISC mandates that fund managers disclose relevant information to investors, such as the fund's financial statements, investment objectives, fees, and risks involved. This ensures that investors can make informed decisions about where to place their money.
- **Investor Rights:** CISC provides protection for investors by ensuring they have access to information, such as regular reports on fund performance and the management of assets.
- **Independent Oversight:** Trustees act independently from the fund manager to ensure that investor interests are protected, and the fund is managed according to the rules of the collective investment scheme.

Investment Limitations and Portfolio Composition

- **Regulation of Investments:** CISC places restrictions on the types of investments that can be made by collective investment schemes. These rules are designed to limit excessive risk-taking and ensure the protection of investors' capital. For example, collective investment schemes must comply with diversification rules and limits on investing in specific types of securities or instruments.

- **Liquidity and Redemption:** CISCAs regulate the liquidity of collective investment schemes to ensure that investors can redeem their units at fair value. It requires fund managers to maintain sufficient liquidity in their portfolios, and to provide investors with regular information on the fund's liquidity position.

Reporting and Financial Statements

- **Annual Reports:** Fund managers are required to provide annual reports to investors, including financial statements that offer a clear picture of the fund's performance, investments, and financial health.
- **Auditing:** The fund manager must ensure that the collective investment scheme is audited annually by an independent auditor, and the financial statements must comply with accounting standards.

Licensing of Collective Investment Schemes

- **Regulation of Fund Managers:** To operate as a collective investment scheme, a fund manager must be licensed by the FSCA. Licensing ensures that fund managers are capable of managing the scheme in accordance with regulatory requirements.

The FSCA evaluates the qualifications, experience, and financial standing of fund managers before issuing licenses.

Key Objectives of CISCAs

- **Investor Protection:** The Act aims to safeguard investors' interests by ensuring proper governance, transparency, and regulation in the operation of collective investment schemes.
- **Financial Stability:** CISCAs promote the stability of collective investment schemes by regulating their activities and ensuring that they operate in a sound financial manner.
- **Transparency and Fairness:** The Act mandates that fund managers provide regular, accurate, and clear disclosures about their schemes, which fosters transparency and ensures that investors can make informed investment decisions.

Amendments and Developments

- Over time, the CISCAs have been updated to adapt to evolving market conditions, with the aim of improving investor protection and market integrity. This includes responding to new investment products and developments in the global investment landscape.

The Collective Investment Schemes Control Act (CISCAs) plays a crucial role in regulating the collective investment sector in South Africa. It provides a robust framework that ensures financial stability, investor protection, and transparency in the management of unit trusts and mutual funds. By setting standards for fund managers, trustees, and administrators, CISCAs help create an environment in which investors can confidently invest in collective schemes, knowing their interests are safeguarded.

The **ASISA Standard on Fund Classification** is a set of guidelines established by the Association for Savings and Investment South Africa (ASISA) to standardise the classification of investment funds in South Africa. The standard aims to provide a consistent and transparent approach to the categorisation of investment funds, making it easier for investors, advisers, and fund managers to understand and compare different funds. It ensures that the classification of funds is based on objective, clear criteria, and helps in improving the overall transparency and efficiency of the investment industry.

3.2.1. KEY ASPECTS OF THE ASISA STANDARD ON FUND CLASSIFICATION

Purpose of Fund Classification

- The primary purpose of fund classification is to allow investors to easily compare and understand the different types of funds available in the market. This helps to match funds with an investor's risk profile, investment objectives, and time horizon.
- The standard aims to establish common ground for comparing funds, thus enhancing transparency, accountability, and consistency in the financial industry.

Categories of Funds

The ASISA Standard classifies funds into several broad categories based on their investment strategies, asset allocation, and risk profiles. The key categories typically include:

- **Equity Funds:** These funds primarily invest in equities (stocks) and are expected to provide higher returns, but with higher risk. They are generally suitable for long-term investors who can tolerate higher volatility.
- **Fixed Interest Funds:** These funds mainly invest in bonds and other debt instruments. They aim to provide more stable returns with relatively lower risk compared to equity funds.
- **Multi-Asset Funds:** These funds invest in a combination of asset classes, such as equities, bonds, and cash, with the goal of achieving a diversified portfolio. They may have a risk level and return potential that lies between equity funds and fixed interest funds.
- **Property Funds:** These funds focus on investing in property or real estate. They are suitable for investors seeking exposure to the property market and income through rental yields and capital appreciation.
- **Money Market Funds:** These funds invest in short-term, low-risk debt instruments and are suitable for investors seeking safety and liquidity. They offer lower returns compared to equity or property funds but are a stable option for conservative investors.
- **Specialist Funds:** This category includes funds that invest in specific sectors or asset classes, such as technology, commodities, or ethical investments. These funds are often targeted at more sophisticated investors with specific investment goals.

Asset Allocation	Funds are classified based on their asset allocation, with each category having clear guidelines about the proportion of assets that must be invested in various types of securities (e.g., equities, bonds, cash). For instance, a fund classified as an equity fund is typically required to invest a significant portion of its assets (usually 80% or more) in equities. Similarly, a fixed interest fund must primarily hold debt securities.
Risk Profiling	The classification system helps investors understand the level of risk associated with a particular fund. Funds that are primarily invested in equities or commodities tend to be riskier, while funds investing in bonds or cash are considered lower-risk investments. This classification allows investors to choose funds that align with their risk tolerance and financial goals.
Consistency in Reporting	The ASISA Standard ensures that funds are classified consistently, which means that the asset allocation and strategy of a fund are reported transparently and consistently across the industry. This helps investors make informed decisions. The guidelines require fund managers to adhere to a standardised approach to reporting fund performance, risk, and strategy, which is crucial for comparability.
Guidelines for Reclassification	If a fund changes its investment strategy, it may be reclassified under a different category. The ASISA Standard outlines the procedures and criteria for such reclassification to ensure that investors are informed about any significant changes in the fund's strategy or objectives.
Regulatory Compliance	The ASISA Standard on Fund Classification ensures that funds comply with the regulatory framework set by the Financial Sector Conduct Authority (FSCA) and other applicable regulations in South Africa. The standard also ensures that funds are aligned with industry best practices, offering a transparent approach to fund classification that complies with the requirements of the Collective Investment Schemes Control Act (CISCA) and other relevant laws.

Disclosure and Transparency	ASISA's classification system is designed to improve transparency, allowing investors to easily understand what they are investing in and the underlying risk profile of each fund. Fund managers are required to disclose the fund's strategy, asset allocation, and risk profile in a way that is consistent with the ASISA Standard.
Changes and Updates	The ASISA Standard is subject to periodic updates to reflect changes in market conditions, investment practices, and regulatory requirements. These updates help to keep the classification system relevant, ensuring that it continues to meet the needs of investors and complies with evolving regulations.

Benefits of the ASISA Standard on Fund Classification

Clarity for Investors	The standard provides a clear and consistent method for classifying investment funds, making it easier for investors to compare options and choose funds that match their financial goals and risk tolerance.
Standardisation	Fund managers are guided by clear criteria for classifying their funds, leading to greater consistency and comparability across the industry.
Transparency	Investors benefit from transparent information about the assets within each fund and the strategies used to achieve returns. This allows for informed decision-making.
Regulatory Compliance	The standard ensures that funds are aligned with South Africa's regulatory framework, providing confidence to investors in the integrity of the investment industry.

The ASISA Standard on Fund Classification provides a structured and transparent system for classifying investment funds in South Africa. It helps investors better understand the types of funds available, their associated risks, and expected returns, while also promoting consistency, transparency, and regulatory compliance across the investment industry.

3.3. PENSIONS FUND ACT (REGULATION 28)

The Pension Funds Act (PFA), a key piece of South African legislation governing pension and retirement funds, is designed to regulate the establishment, operation, and administration of pension, provident, and retirement annuity funds in the country. One of the most important provisions within the Act is Regulation 28, which specifically governs the investment of pension fund assets. Regulation 28 sets out the limits on how funds can be invested, with the aim of ensuring that pension funds are prudently managed and that the investments are diversified, thus minimising risk for retirement fund members.

3.3.1. Key Features of Regulation 28

Objective of Regulation 28

- **Risk Management:** Regulation 28 aims to protect pension fund members by ensuring that pension funds invest in a diversified and balanced manner. By setting limits on how funds can allocate their assets across different asset classes, it reduces the risk of overexposure to a single investment type.
- **Safeguarding Pension Fund Assets:** The regulation seeks to ensure that pension funds remain solvent, capable of meeting their long-term obligations to members, and are managed in a way that supports stable returns.
- **Long-term Investment Focus:** Regulation 28 is designed to encourage long-term investments that benefit fund members by allowing for steady growth of the funds over time.

Asset Class Allocation

Limits: Regulation 28 specifies the maximum percentage of fund assets that can be allocated to different asset classes. These limits are set to promote diversification and to reduce the risk of funds being overly concentrated in a single investment type.

Equities (Listed and Unlisted)	A fund is allowed to invest up to 75% of its assets in equities, whether they are listed on the stock exchange or unlisted. This allows pension funds to benefit from the potential growth of the equity market, while also keeping risk in check.
Fixed Interest (Bonds)	Funds may invest up to 45% of their assets in fixed-interest instruments such as bonds and other debt securities. This allocation ensures funds can achieve more stable, income-generating returns.
Property	Regulation 28 permits up to 25% of fund assets to be invested in property (including both listed and unlisted property investments), encouraging investment in real estate, which can provide capital appreciation and income through rental yields.

Commodities	Funds may allocate up to 10% of their assets to commodities like gold or oil, which can provide a hedge against inflation or economic downturns.
Cash and Money Market Instruments	The Act allows a higher percentage (typically up to 25%) of assets to be held in cash and money market instruments, ensuring that funds can meet liquidity needs and handle short-term liabilities.
Private Equity	Funds may invest up to 10% of their assets in private equity investments, which often offer higher return potential but come with greater risk.
Foreign Investments	A fund may invest up to 30% of its assets in foreign assets, providing exposure to global markets and further diversification. However, the exposure to foreign equities is limited to 25%.
Alternative Investments	Investment in alternative assets like hedge funds or infrastructure may be allowed under certain conditions, with limits based on the nature of the investment.

Risk Control Measures

- **Diversification:** The primary goal of Regulation 28 is to ensure diversification, which helps reduce the potential for large losses by spreading risk across different asset classes.
- **Concentration Limits:** Regulation 28 imposes concentration limits to avoid pension funds having excessive exposure to any one issuer, sector, or geographic region. This ensures that funds do not become too reliant on any single investment.
- **Liquidity Requirements:** Pension funds must ensure that a portion of their investments is liquid, allowing them to meet any short-term obligations or member withdrawals.

Socially Responsible Investment (SRI)

- **Environmental, Social, and Governance (ESG) Considerations:** Regulation 28 encourages pension funds to consider socially responsible investment (SRI) principles in their asset allocation. This means funds are encouraged to consider Environmental, Social, and Governance (ESG) factors when selecting investments. For example, pension funds may opt to invest in companies or sectors that are committed to sustainable development, ethical business practices, and positive social impacts.

This aligns with broader global trends in sustainable investing, where funds are increasingly scrutinised for their impact on society and the environment.

Impact of Regulation 28 on Fund Managers

- **Strategic Asset Allocation:** Fund managers must develop investment strategies within the guidelines set by Regulation 28. This involves making informed decisions about asset allocation to ensure funds remain diversified and comply with the regulatory limits.
- **Regular Monitoring and Reporting:** Fund managers are required to regularly monitor their portfolios to ensure compliance with Regulation 28 and must report to the Financial Sector Conduct Authority (FSCA) and other regulators as necessary.

Exemptions and Special Cases

Regulation 28 allows for certain exemptions for specific types of funds, such as prescribed retirement funds, umbrella funds, or funds that have particular investment structures. However, these funds must still adhere to the broader principles of risk management and asset diversification.

The FSCA may approve higher or lower limits based on the specific investment approach or unique characteristics of a given fund.

3.3.2. IMPORTANCE OF REGULATION 28 FOR PENSION FUND MEMBERS

- **Retirement Security:** By ensuring that pension funds are invested prudently, Regulation 28 contributes to the long-term financial security of fund members. The regulation helps minimise risk while allowing for growth over the members' working lifetimes.
- **Diversification and Stability:** The regulation prevents pension funds from placing all their assets in high-risk investments, thus ensuring that the funds are balanced and stable. This is crucial for pension funds, as they are expected to provide a steady income for retirees.
- **Protection Against Market Volatility:** The limits on asset classes and sectors provide a cushion against market volatility, reducing the impact of economic downturns or financial crises on pension fund returns.

Regulation 28 of the Pension Funds Act is a critical piece of legislation that provides a framework for the prudent management of pension fund investments in South Africa. By setting clear limits on the allocation of assets, promoting diversification, and encouraging socially responsible investment practices, Regulation 28 ensures that pension funds are managed in a way that minimises risk and protects the interests of fund members. It aims to secure the long-term financial health of pension funds, providing retirement security to South African

3.4. FINANCIAL ADVISORY AND INTERMEDIARY SERVICES ACT

The Financial Advisory and Intermediary Services Act (FAIS Act), 2002, is a key piece of South African legislation designed to regulate the activities of financial service providers (FSPs), financial advisors, and intermediaries in the country. The primary goal of the FAIS Act is to ensure that financial advice and services provided to consumers are fair, transparent, and suitable for their needs, while maintaining the integrity and professionalism of the financial services industry.

3.4.1. KEY OBJECTIVES OF THE FAIS ACT

Consumer Protection	The FAIS Act aims to protect consumers by ensuring that financial advisors and intermediaries provide sound and unbiased financial advice.
Regulation and Oversight	It establishes a regulatory framework for financial advisors, intermediaries, and service providers, ensuring that they operate within legal and ethical boundaries.
Professionalism and Accountability	The FAIS Act promotes professionalism within the financial advisory and intermediary industry by setting educational, ethical, and regulatory standards for those providing financial services.

3.4.2. KEY PROVISIONS OF THE FAIS ACT

Licensing of Financial Service Providers (FSPs)

- **Licensing Requirement:** Any person or entity that provides financial services in South Africa must be licensed by the Financial Sector Conduct Authority (FSCA). This includes financial advisors, intermediaries, and firms offering investment, insurance, or retirement planning advice and services.
- **Categories of FSPs:** Financial service providers are required to be licensed under specific categories depending on the type of services they offer, such as advice, intermediary services, or both.

Fit and Proper Requirements

The FAIS Act outlines specific "fit and proper" requirements that FSPs, their representatives, and key individuals must meet. These include:

- **Competence:** FSPs and their representatives must have appropriate qualifications, skills, and experience to provide financial advice or intermediary services.
- **Honesty and Integrity:** FSPs must demonstrate high ethical standards and integrity in their dealings with clients.
- **Financial Soundness:** FSPs must be financially sound and maintain adequate resources to operate their business effectively.

Representatives must also meet specific competence requirements to ensure they are capable of providing suitable advice to clients.

Disclosure and Transparency

Clear Disclosure to Clients: The FAIS Act requires that financial advisors and intermediaries provide clear, written disclosure to clients, including:

- **Details of their qualifications and professional standing.**
- **Nature of the services being provided, including any risks associated with the recommendations.**
- **Fees and Commissions:** Advisors must disclose any fees, commissions, or other remuneration they receive for providing services.
- **Conflict of Interest:** Financial advisors must disclose any potential or actual conflict of interest that may affect their impartiality in giving advice.

Advice and Recommendations

The FAIS Act regulates the provision of financial advice to ensure that it is:

- **Suitable:** Advisors must ensure that the advice they provide is appropriate for the client's needs, financial situation, and objectives.
- **Reasonable:** The advice must be based on a reasonable assessment of the client's financial position and goals.
- **Objective and Unbiased:** Advisors must act in the best interests of their clients and avoid biased recommendations based on commissions or other incentives.

Conduct of Business and Operational Standards

The FAIS Act sets standards for the conduct of financial service providers, ensuring that they adhere to ethical and professional standards. These standards include:

- **Record-Keeping:** Financial advisors and intermediaries are required to keep detailed records of the advice and services provided to clients.
- **Client Interaction:** Providers must ensure that client communications are clear, fair, and not misleading. All marketing and advertising materials must be accurate and in line with regulatory guidelines.
- **Complaint Resolution:** The FAIS Act requires that financial service providers have systems in place to address client complaints promptly and effectively.

Regulatory Oversight and Enforcement

The Financial Sector Conduct Authority (FSCA) is the primary regulator under the FAIS Act. The FSCA's role is to:

- **Monitor compliance:** The FSCA oversees the activities of financial service providers to ensure they adhere to the FAIS Act.
- **Enforce sanctions:** If an FSP or advisor breaches the FAIS Act, the FSCA can impose penalties, including fines, suspension, or revocation of the provider's license.
- **Investigations and Inspections:** The FSCA has the authority to conduct investigations, audits, and inspections of FSPs to ensure compliance with the Act.

Consumer Recourse and Protection

The FAIS Act provides consumers with certain protections and avenues for recourse, such as:

- **Complaints and Disputes:** Clients who are dissatisfied with the services provided by financial advisors or intermediaries can file complaints with the Ombudsman for Financial Services Providers.
- **Claims for Losses:** If a financial service provider is found to have acted negligently, clients may seek compensation for losses resulting from poor or unsuitable advice.

Training and Continuous Education

- **Professional Development:** The FAIS Act encourages continuous education and development for financial service providers and their representatives. This ensures that advisors stay up-to-date with the latest financial products, regulations, and market trends.
- **Qualifications and Accreditation:** Financial advisors are required to meet specific educational standards and may need to obtain certifications, such as those from the Financial Planning Institute of Southern Africa (FPI) or other recognised industry bodies.

Prohibition on Certain Practices

The FAIS Act prohibits certain practices that could harm consumers or undermine the integrity of the financial services sector, including:

- **Unlicensed Activities:** Any person providing financial services without being properly licensed is subject to penalties.
- **Misleading or Deceptive Practices:** Financial service providers are prohibited from engaging in deceptive marketing or giving misleading advice.
- **Unreasonable Fees:** Charging unreasonable or excessive fees for financial services is prohibited.

The Financial Advisory and Intermediary Services Act (FAIS Act) plays a crucial role in regulating the financial services industry in South Africa, ensuring that financial advisors, intermediaries, and service providers adhere to high standards of professionalism, transparency, and accountability. By setting out clear guidelines for licensing, conduct, disclosures, and consumer protection, the FAIS Act aims to foster trust and confidence in the financial advisory sector, while safeguarding the interests of consumers and promoting fair and suitable financial advice.

This legislation is key to maintaining the integrity of South Africa's financial system, ensuring that individuals and businesses can rely on professional advice to make informed financial decisions.

3.5. FINANCIAL INTELLIGENCE CENTRE ACT (FICA)

The Financial Intelligence Centre Act (FICA), 2001, is a crucial piece of South African legislation aimed at preventing money laundering, the financing of terrorism, and other financial crimes. It establishes the Financial Intelligence Centre (FIC), which is responsible for overseeing and enforcing compliance with anti-money laundering (AML) and counter-financing of terrorism (CFT) regulations within the financial sector and other sectors.

FICA aligns with global standards, such as those set by the Financial Action Task Force (FATF), which works to combat money laundering and the financing of terrorism globally.

3.5.1. KEY OBJECTIVES OF THE FICA ACT:

Prevention of Financial Crimes	FICA's primary purpose is to prevent money laundering, the financing of terrorism, and other crimes that could undermine the integrity of the South African financial system.
Transparency and Accountability	FICA ensures that businesses in the financial and related sectors operate in a transparent manner, identifying, reporting, and managing suspicious transactions that may indicate illegal activities.
Compliance with International Standards	The Act helps South Africa comply with international anti-money laundering (AML) and counter-financing of terrorism (CFT) requirements set by organisations such as FATF.
Promoting Financial Security	By detecting and reporting suspicious financial activities, FICA aims to promote the security and stability of South Africa's financial system..

3.5.2. KEY PROVISIONS AND REQUIREMENTS UNDER FICA

- Establishment of the Financial Intelligence Centre (FIC)
- Customer Due Diligence (CDD) and Know Your Customer (KYC)
- Suspicious and Unusual Transaction Reporting
- Risk-Based Approach
- Records Keeping
- Penalties for Non-Compliance
- Sanctions for Non-Disclosure or False Information
- Politically Exposed Persons (PEPs)
- Cooperation with International Authorities

The Role of Supervisory Authorities: Under FICA, various regulatory authorities are responsible for supervising different sectors to ensure compliance with the Act. These include:

- **The Financial Sector Conduct Authority (FSCA):** Responsible for regulating financial services providers, including insurers, pension funds, and investment managers.
- **The South African Reserve Bank (SARB):** Supervises banks and financial institutions.
- **The South African Police Service (SAPS):** Collaborates with the FIC in investigating and prosecuting financial crimes.

3.6. PROTECTION OF PERSONAL INFORMATION ACT(POPI)

The Protection of Personal Information Act (POPIA), 2013, is South Africa's data protection law designed to regulate how personal information is processed, stored, and used by both public and private entities. Its primary objective is to protect individuals' right to privacy while balancing the need for organisations to process personal information for legitimate purposes.

3.6.1. KEY OBJECTIVES OF POPI

: Safeguarding Personal Information	To protect personal information from unauthorised access, use, or disclosure.
Regulating Processing Activities	To provide clear guidelines on how personal information should be collected, processed, and managed.
Promoting Transparency	To ensure that individuals (data subjects) are informed about how their information is being used.
Accountability	To hold organisations accountable for ensuring compliance with the Act.

Under POPI, personal information includes any information that can identify a person, such as:

- Names, identification numbers, and contact details
- Financial information
- Biometric information
- Personal opinions, preferences, or behaviour
- Correspondence that reveals private information

Organisations that process personal information must:

- Appoint an Information Officer responsible for ensuring compliance with POPI.
- Implement data protection policies and procedures.
- Conduct regular training for employees on data protection practices.
- Conduct risk assessments to identify and mitigate data protection risks.
- Maintain detailed records of processing activities.
- Implement security measures such as encryption, firewalls, and secure access controls.

	Securing the integrity and confidentiality of clients' information has always been 'best industry practice'. POPI has made this a legal obligation. Financial advisers need to safeguard their clients' privacy and protect them from identity theft and from their savings and investments being stolen. It is your responsibility to ensure that you (and your administrators and service providers) process personal information lawfully. You also need to ensure that your direct marketing campaigns are compliant with POPI's stricter requirements.
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Failure to comply with POPI has serious financial implications (you will get fined). It could also get you imprisoned and irretrievably damage your reputation, and the trust clients have placed in you.

3.6.2. IMPACT OF POPIA

For Businesses	POPIA requires businesses to be more transparent and proactive in protecting personal information, leading to better data governance and trust with customers.
For Consumers	The Act empowers individuals to take control of their personal information and ensures their right to privacy is upheld.
For the Economy	Compliance with POPIA enhances South Africa's alignment with global data protection standards, promoting international business and investment.

CHAPTER 4

INTERNATIONAL REGULATIONS RELEVANT TO SOUTH AFRICA

4.1. DODD FRANK ACT

The Dodd-Frank Wall Street Reform and Consumer Protection Act is a law that regulates the financial markets and protects consumers. Its components are designed to prevent a repeat of the 2008 financial crisis.

The stated goals of the Dodd-Frank Act are to protect the American taxpayer by ending bailouts, to improve accountability and transparency in the financial system, and to protect investors from accounting fraud

Here are some of the ways in which the Dodd-Frank Act sought to make the financial system safer for consumers and taxpayers:

- **Keeps an Eye on Wall Street:** Identifies risks that affect the entire financial industry.
- **Keeps Tabs on Giant Insurance Companies:** Identifies insurance companies that create a risk for the entire system.
- **Stops Banks from Gambling with Depositors' Money:** It prohibits banks from using deposits to trade for their profit.
- **Monitors Risky Derivatives**
- **Brings Hedge Fund Trades to Light:** One of the causes of the 2008 financial crisis was that hedge fund trades had become so complex that they were increasingly difficult for even experienced traders to understand.
- **Oversees Credit Rating Agencies:** It regulates credit-rating agencies like Moody's and Standard & Poor's. Critics of these agencies say they helped fuel the crisis by inaccurately reporting on the safety of some derivatives.

4.2. BASEL III (SOLVANCY)

BASEL III can be defined as an international regulatory accord for reforms designed to mitigate risk within the international banking sector by requiring banks to have more capital on hand

The purpose of Basel III is to improve the regulation, supervision, and risk management of banks to promote stability in the international financial system. Basel III is a set of international banking regulations that was developed in response to the 2007-2008 financial crisis. The regulations include capital and liquidity standards, and are intended to:

- Reduce the damage to the economy caused by banks taking on too much risk
- Strengthen the banking sector's ability to handle financial stress
- Increase transparency and disclosure by banks
- Promote a more resilient financial system

Banks have two main silos of capital to work with. Tier 1 is a bank's core capital, equity, and reserves that appear on the bank's financial statements. If a bank experiences significant losses, Tier 1 capital is what can allow it to weather stress and keep its doors open. By contrast, Tier 2 refers to a bank's supplementary capital, such as undisclosed reserves and unsecured subordinated debt instruments. Tier 1 capital is more liquid and more secure than Tier 2 capital.

4.2.1. WHAT IT IS, CAPITAL REQUIREMENTS, AND IMPLEMENTATION

Basel III requires banks to maintain certain levels of reserve capital and proper leverage ratios. The minimum capital adequacy ratio that banks must maintain is 8%. The solvency ratio is calculated using risk-weighted assets, which are a financial institution's assets weighted according to the risk of the asset.

Basel III is an evolving framework that adapts to changes in the financial landscape and national economies. The final implementation of Basel III, known as Basel III Endgame, began in 2017 and is scheduled to end in 2024. The regulations are expected to take effect in mid-2025

Basel III is a 2009 international regulatory accord that introduced a set of reforms designed to mitigate risk within the international banking sector, by requiring banks to maintain proper leverage ratios and keep certain levels of reserve capital on hand.

The main purpose is to strengthen regulation of banks by improving:

- Bank's ability to absorb economic shock
- Risk management and governance for banks
- Transparency and disclosure



G20 leaders have endorsed Basel III.

4.3. EUROPEAN MARKET INFRASTRUCTURE REGULATION (EMIR)

The European Market Infrastructure Regulation (EMIR) is a European Union (EU) law that aims to reduce financial risks by increasing transparency in the over-the-counter (OTC) derivatives market

Derivatives play an important role in the economy, but they also bring certain risks. These risks were highlighted during the 2008 financial crisis when significant weaknesses in the OTC derivatives markets became evident.

In 2012 the EU adopted the European market infrastructure regulation (EMIR). The purpose was to:

Enhancing Transparency

EMIR introduces reporting requirements to make derivatives markets more transparent. Under the regulation:

- detailed information on each derivative contract has to be reported to trade repositories and made available to supervisory authorities.
- trade repositories have to publish aggregate positions by class of derivatives, for both OTC and listed derivatives.
- the European Securities and Markets Authority (ESMA) is responsible for surveillance of trade repositories and for granting and withdrawing accreditation.

Mitigating Credit Risk

EMIR introduces rules to reduce the counterparty credit risk of derivatives contracts. In particular:

- all standardised OTC derivatives contracts must be centrally cleared through CCPs.
- if a contract is not cleared by a CCP, risk mitigation techniques must be applied.
- CCPs must comply with stringent prudential, organisational and conduct of business requirements.

Reducing Operational Risk

The regulation also requires market participants to monitor and mitigate the operational risks associated with trade in derivatives such as fraud and human error, for example by using electronic means to promptly confirm the terms of OTC derivatives contracts.

EMIR applies to:

- Over-the-counter derivatives
- Central counterparties (CCPs)
- Trade repositories (TRs)
- Financial counterparties (FCs)
- Non-financial counterparties (NFCs)

EMIR requires:

- Reporting all derivative contracts to TRs
- Risk mitigation techniques for non-centrally cleared derivatives
- Requirements for CCPs and TRs
- Centrally clearing reporting requirements for derivative contracts
- Uniform requirements for CCPs and TRs

4.4. FOREIGN ACCOUNT COMPLIANCE ACT (FATCA)

The South African Government has signed an intergovernmental agreement (IGA) with the Internal Revenue Service (IRS) agreeing to exchange information provided by financial institutions in South Africa.

- FATCA promotes cross border tax compliance by implementing an international standard for the automatic exchange of information related to US taxpayers.
- FATCA is intended to increase transparency for the Internal Revenue Service (IRS) with respect to US persons that may be investing and earning income through non-US institutions.
- Affected South African financial institutions are required to submit an annual report to SARS on all financial accounts held directly or indirectly by US persons, which SARS will submit to the IRS.